KCB Making the Difference

HALF YEAR 2015 EARNINGS RELEASE

Milestones to Date

2.1 million customers, Loans KShs 2.1 billion, Deposits KShs 128 million, Loan accounts 800,000

KCB M-PESA ACCOUNT

Over 250 Branches, 11,000 Agency Outlets (up 39%)

Customer Numbers: Over 7 million (up 69% Dec-14)

Enhancing Financial Inclusion

KShs 3B disbursed

972,491 loan applications (up 330%) 71% on mobile

Digital channels

69%

of total Transactions

KShs. 1,000,000,000 on Foundation

MIFUGO NI MALI
A KCB FOUNDATION PROGRAMME

East Africa Awards for 2015

Best Commercial Bank

GCR GLOBAL CREDIT RATING CO.
Local Expertise • Global Presence

Kenya Commercial Bank Limited **AA(KE) and A1+(KE)** in the long term and short term respectively; outlook **Stable**.

Best Regional Bank

Most Socially Responsible Bank

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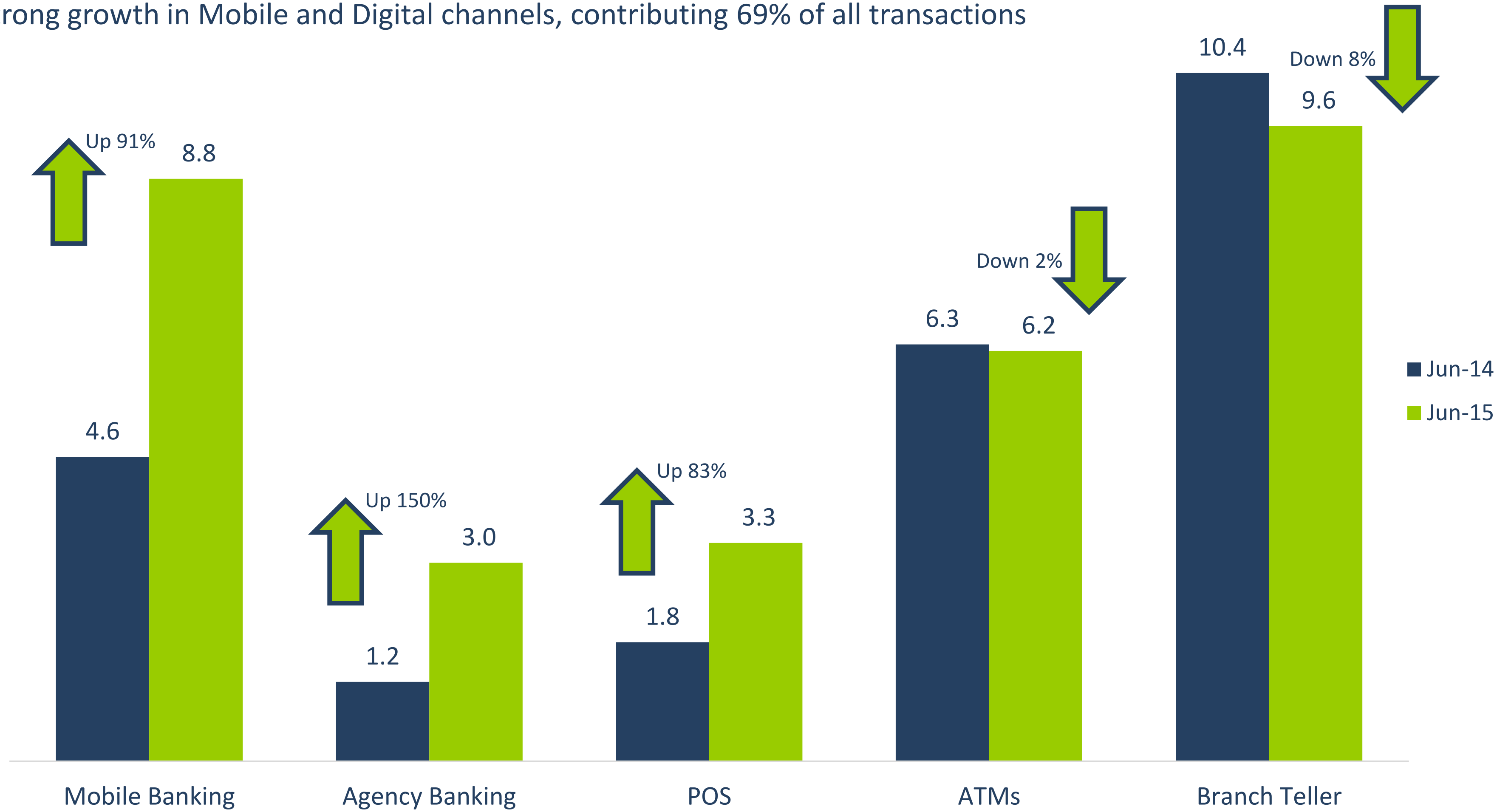
Channel Transactions in Millions

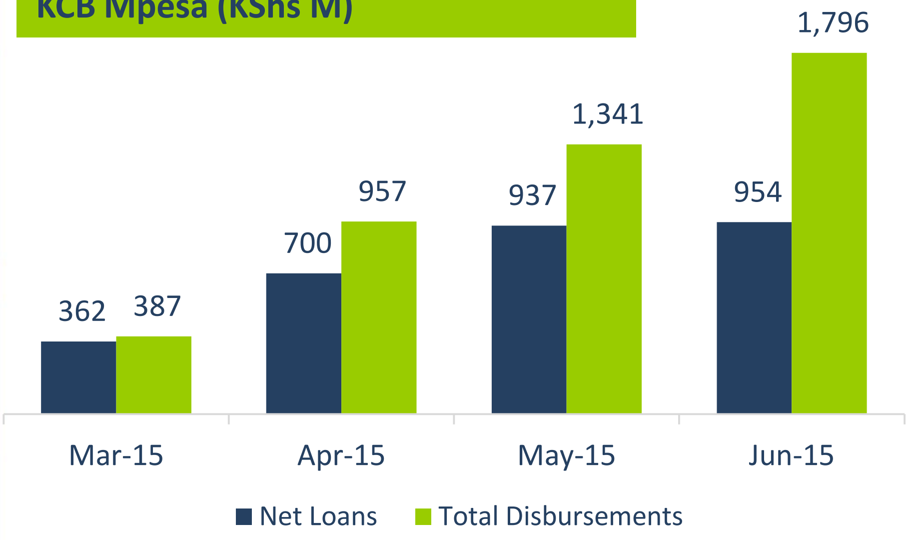
Strong growth in Mobile and Digital channels, contributing 69% of all transactions



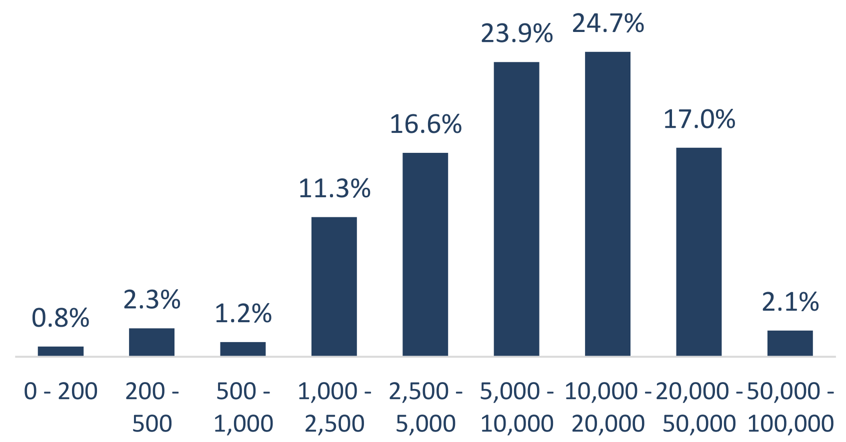
KCB | Mobi-Bank KCB | Mtaani Agent KCB | ATM 24HRS KCB | i-Bank

Deepening Financial Inclusion with KCB Mpesa - Over KShs 2B new loans and 2M Customers

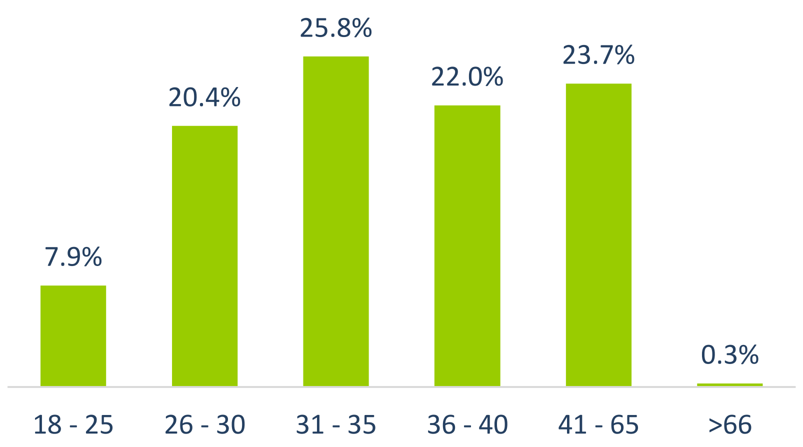
KCB Mpesa (KShs M)



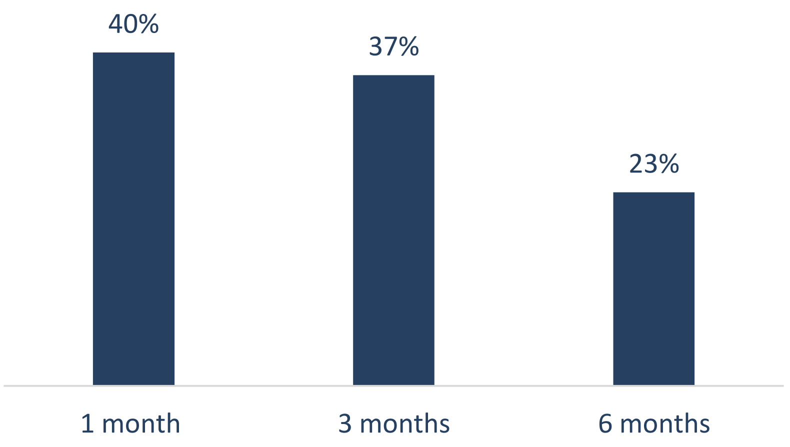
Loan Amount Bracket



Age profile



Loan Maturity



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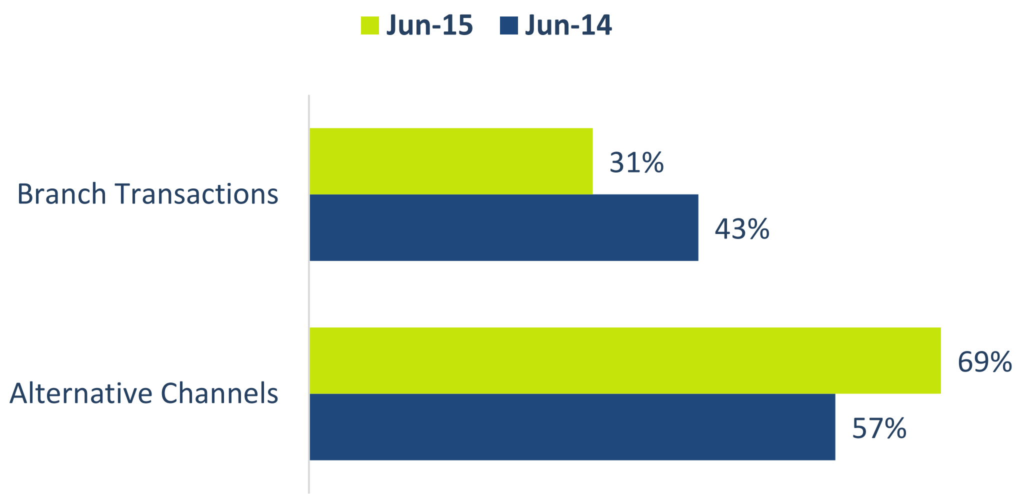
Digital Channels delivering stronger overall growth – over 2/3 transactions



- 6 Billers launched in Jun-15
- Transactions over KShs 4.7M
- 140,000 KCB Pepea transactions valued at KShs 0.3 Billion

Event Ticketing using the KCB Pepea Card

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Good Momentum in Growing the SME Book

Growing customers by 30%

$150M in long term funds from IFC in 2015

3 year KShs 1B Start up fund

Increase lending to SME to KShs 40B in 3 years

KCB's SME Experience

SME Performance:

- 30% growth in customer numbers
- 29% L/D Ratio
- Improved NPL to 6%
- Opportunity to grow the Assets

SME Activities:

- Over 300 SME Workshops
- Over 26,000 customers trained
- Over 2,200 customers exposed to new markets

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MACRO-ECONOMIC OVERVIEW

Operating Environment - Kenya

	Sep-14	Dec-14	Mar-15	June-15	Current
Central Bank Rate	8.5	8.5	8.5	10.0	11.5
KBRR	9.1	9.1	8.5	8.5	9.9
Average Lending Rate	16.2	16.0	15.4	15.2	15.2
Interbank Rate	6.7	7.2	8.2	10.6	14.7
Kenya Inflation	6.6	6.0	6.3	7.0	7.0
Crude Oil Price USD/Barrel	97.5	53.0	53.3	63.2	57.8
FX Rate (KShs./$)	89.4	90.6	92.4	99.3	100.8

Operating Environment – Tanzania & Uganda

	Dec-14	Mar-15	June-15
91 day T-Bill	13.2	6.86	7.5
Tanzania Inflation	4.8	4.3	6.1
FX Rate (TShs./$)	1733	1865	1995

Tanzania Highlights:

TShs depreciated 21% in the last year

Inflation driven by food cost

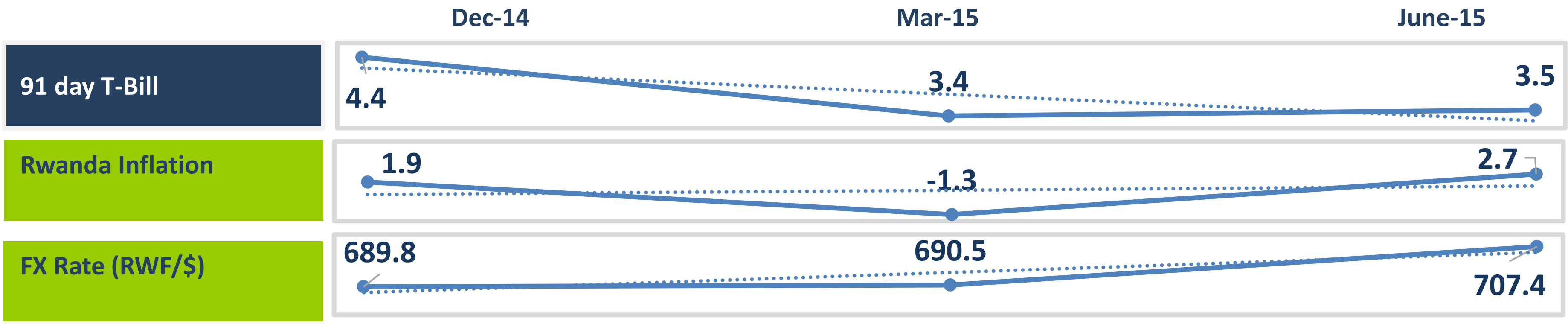
General Elections - October 2015 (Current president not eligible)

	Dec-14	Mar-15	June-15
91 day T-Bill	11.3	13.2	14.1
Uganda Inflation	1.8	1.9	4.9
FX Rate (Ugx./$)	2771	2975	3300

Uganda Highlights:

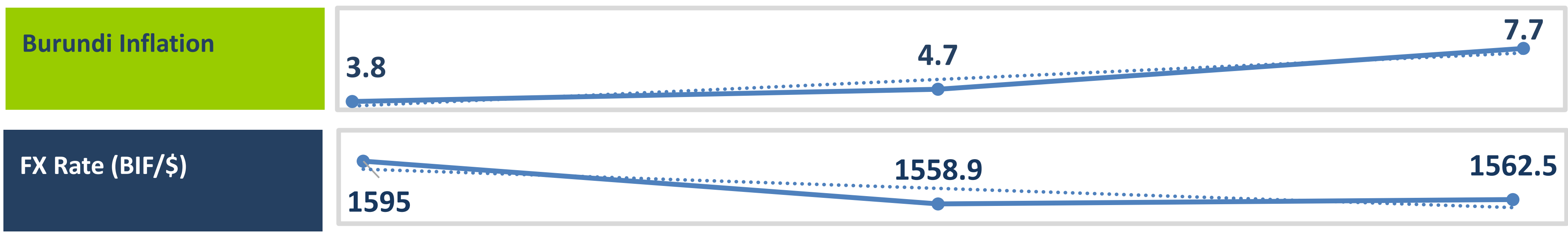
- UGX currency depreciation hit 3,500 July 2015
- Inflation rise due to food prices
- Widening current account deficit
- Electioneering process underway

Operating Environment – Rwanda & Burundi



Highlights:

- Fitch affirmed B+ rating
- Parliamentary support for Presidential 3rd term
- Key interest rate left unchanged at 6.5% since cutting it by 50bp in 2014
- Growth forecast at 6.5% in 2015 & 2016



Highlights:

- Political Crisis and uncertainty
- Increasing inflation and cost of essential commodities due to political unrest

Operating Environment – South Sudan

Highlights:

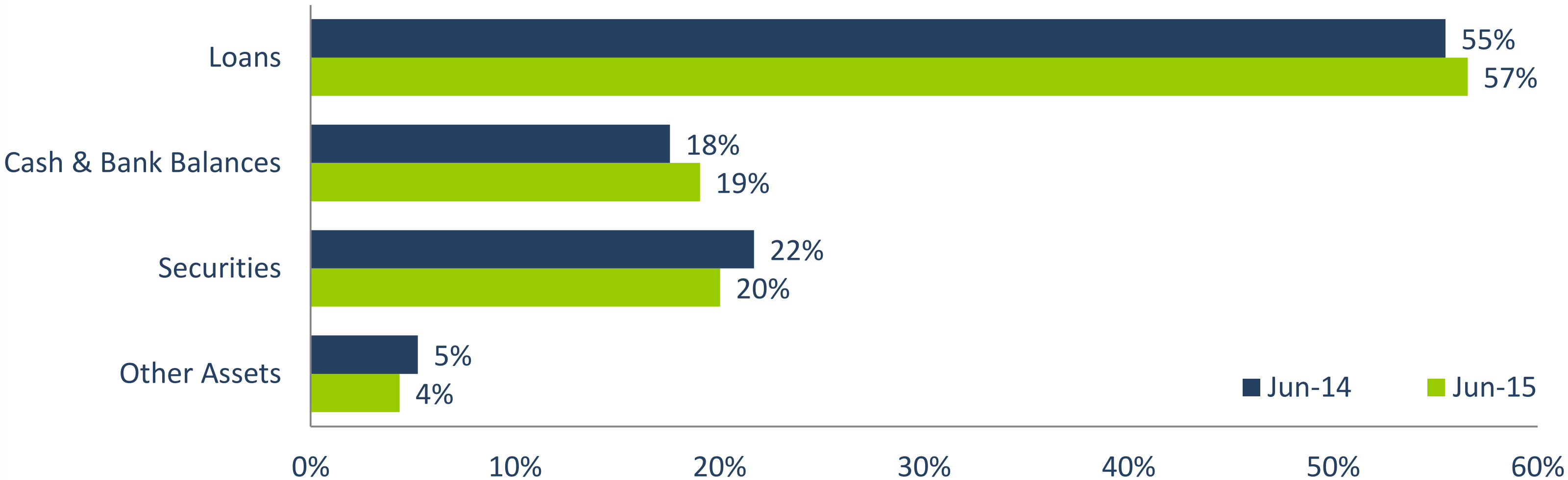
- Political conflict in the 3rd year
- Lower revenue collection (oil and non-oil related)
- Fiscal Budget deficit:
  - Expenditure SSP 10.6B
  - Revenue SSP 3.2B (Oil revenue SSP 1.2B, Non Oil SSP 1.7B, Donors SSP SSP 0.3B)
  - Deficit **SSP 7.4B**
- Introduction of new tax framework to enhance non-oil revenues
- Cautious optimism on Peace Agreement

FINANCIAL PERFORMANCE

Asset Portfolio and Distribution (KShs Mn.)

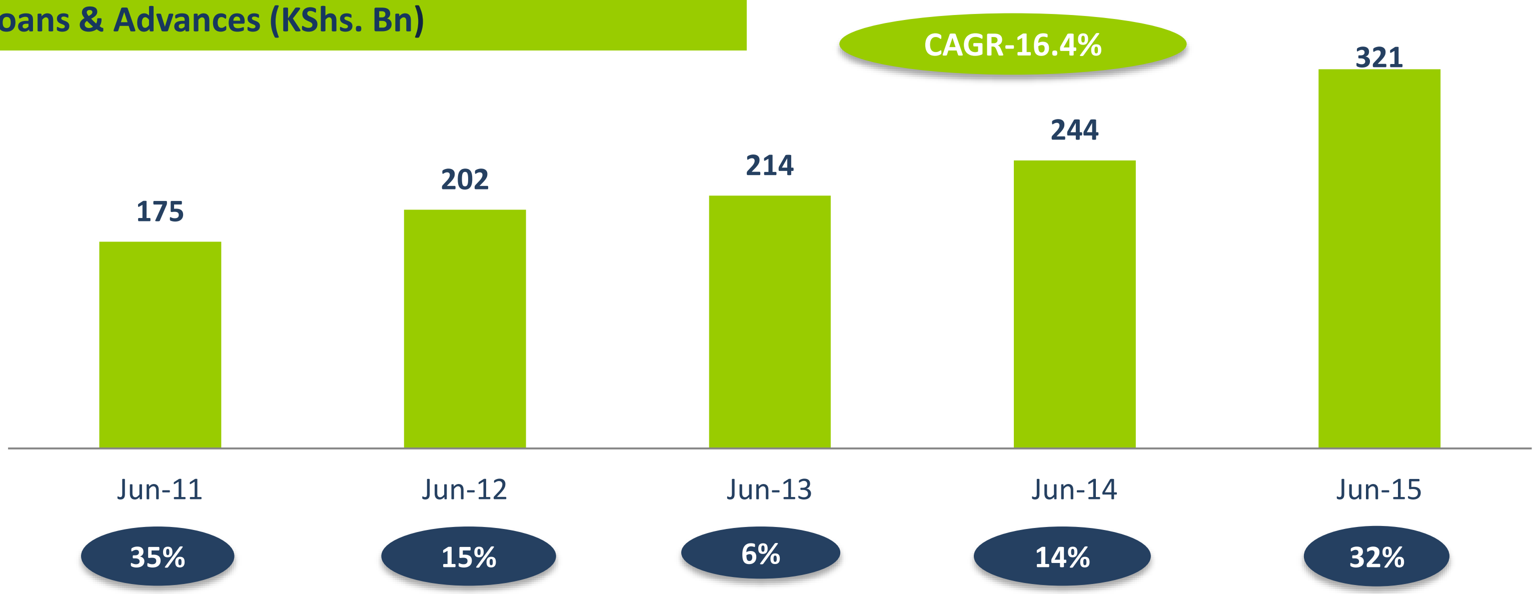
	Actual Jun-15	Actual Jun-14	% Y-O-Y Change
Asset Portfolio			
Cash and balances with Central Bank	27,884	25,486	9%
Balances with other institutions	79,985	51,787	54%
Investments in Government securities	112,595	93,330	21%
Investment securities	876	2,008	-56%
Net loans and advances	320,601	244,014	32%
Fixed assets	11,039	9,889	12%
Other assets	13,630	13,188	3%
Total Assets	**566,610**	**439,701**	**29%**

Asset Distribution



Growth in Loan Book

Net Loans & Advances (KShs. Bn)



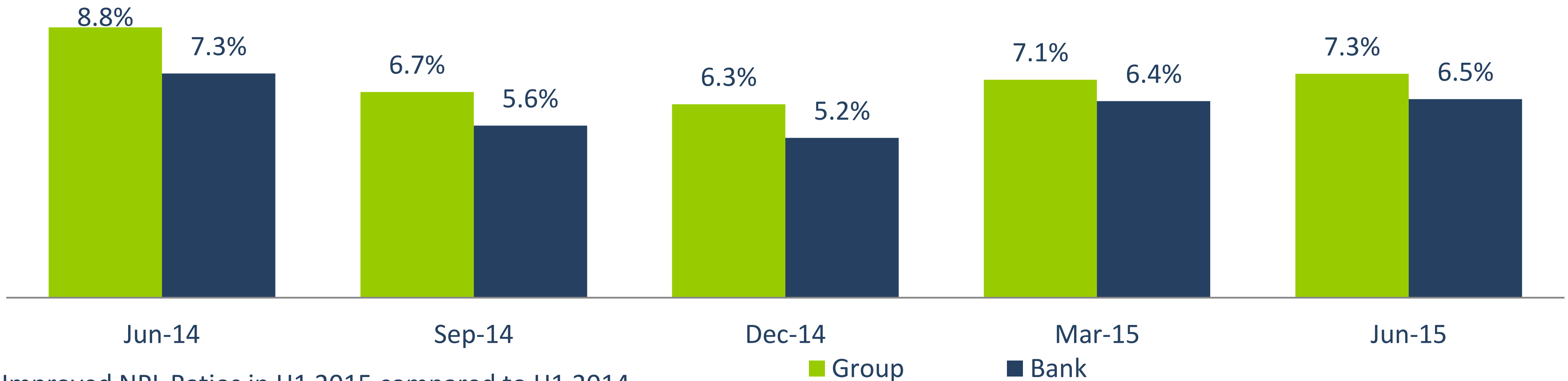
Loan segmentation June 2015

Loan segmentation June 2014

*Others:- Mining,Energy&Water,Tourism,Restaurant,Hotels and Financial Services

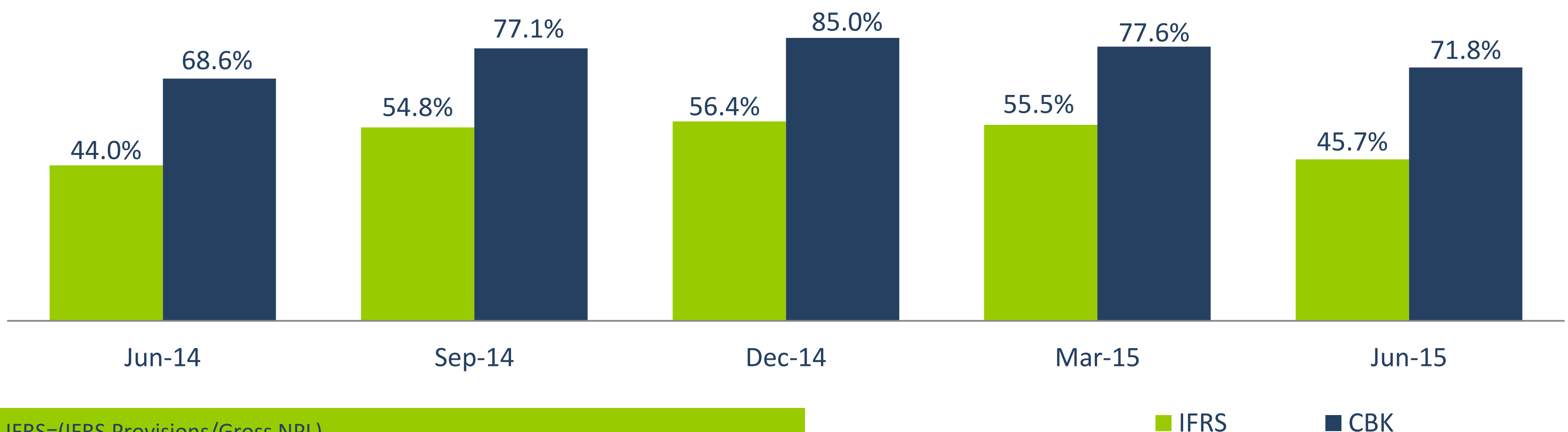
Asset Quality and NPL Coverage

NPL Ratio



Improved NPL Ratios in H1 2015 compared to H1 2014

Coverage Ratio

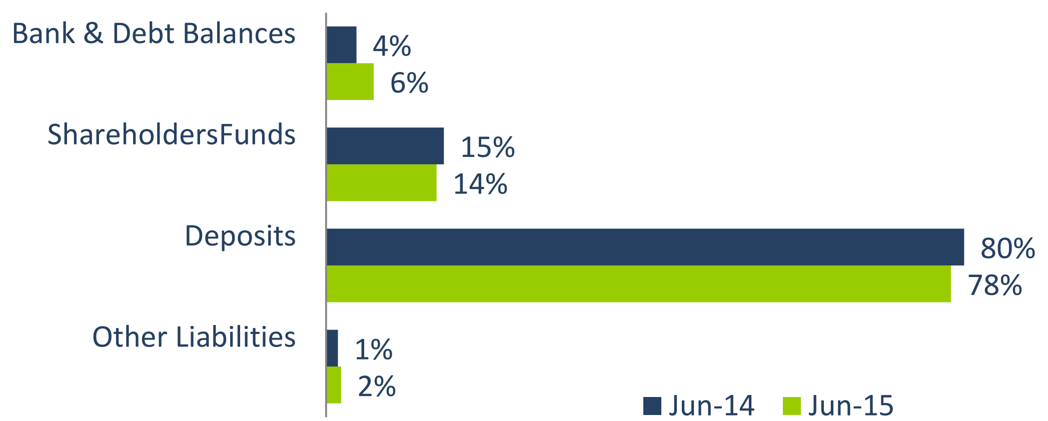


- IFRS=(IFRS Provisions/Gross NPL)
- CBK=(Interest in Suspense+General Provision+Specific Provision)/(Gross NPL)

Liabilities and Funding Base (KShs Mn.)

	Actual Jun-15	Actual Jun-14	% Y-O-Y Change
Funding Portfolio			
Customer Deposits	443,036	351,603	26%
Balances due to other banks	12,273	3,639	237%
Other liabilities	10,728	6,488	65%
Long-term debt	22,474	13,117	71%
Total Liabilities	**488,512**	**374,846**	**30%**
Share capital	3,025	2,984	1%
Reserves and premium	75,072	61,870	21%
Proposed dividend	0	0	0%
Shareholders' Equity	**78,097**	**64,855**	20%
Total Liabilities and Equity	**566,610**	**439,701**	**29%**

Liability & Equity Contribution



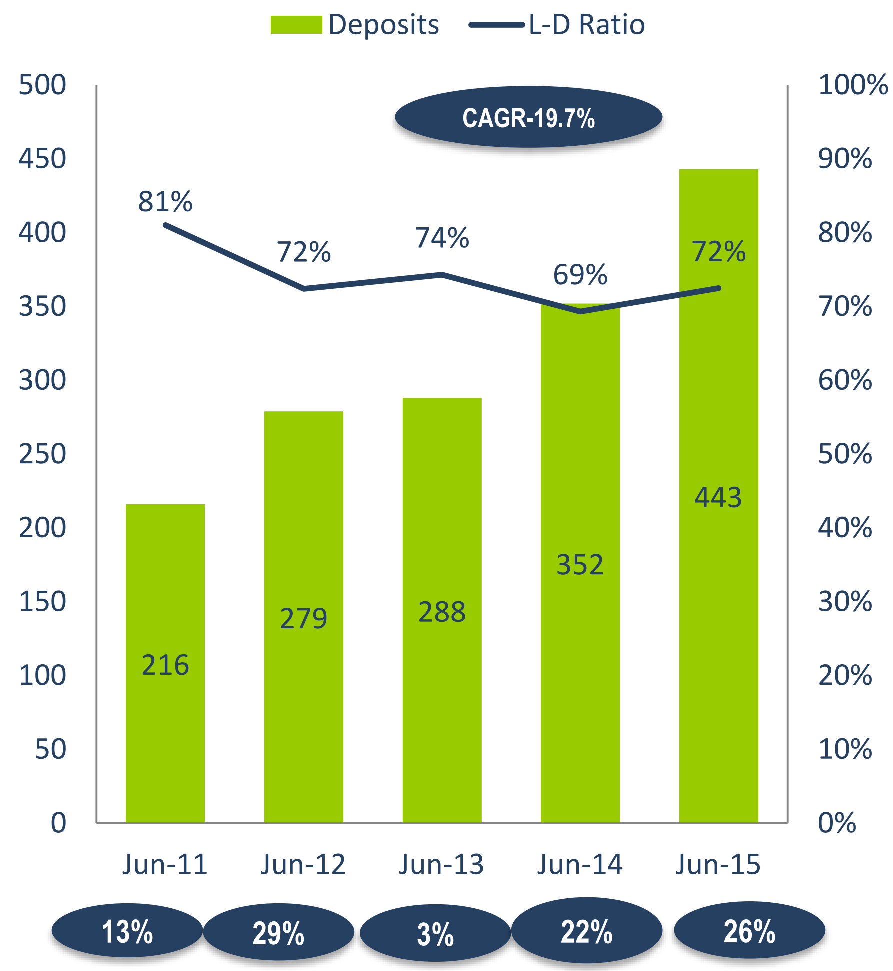
Key Highlights

Total liabilities increased by 29 % due to;

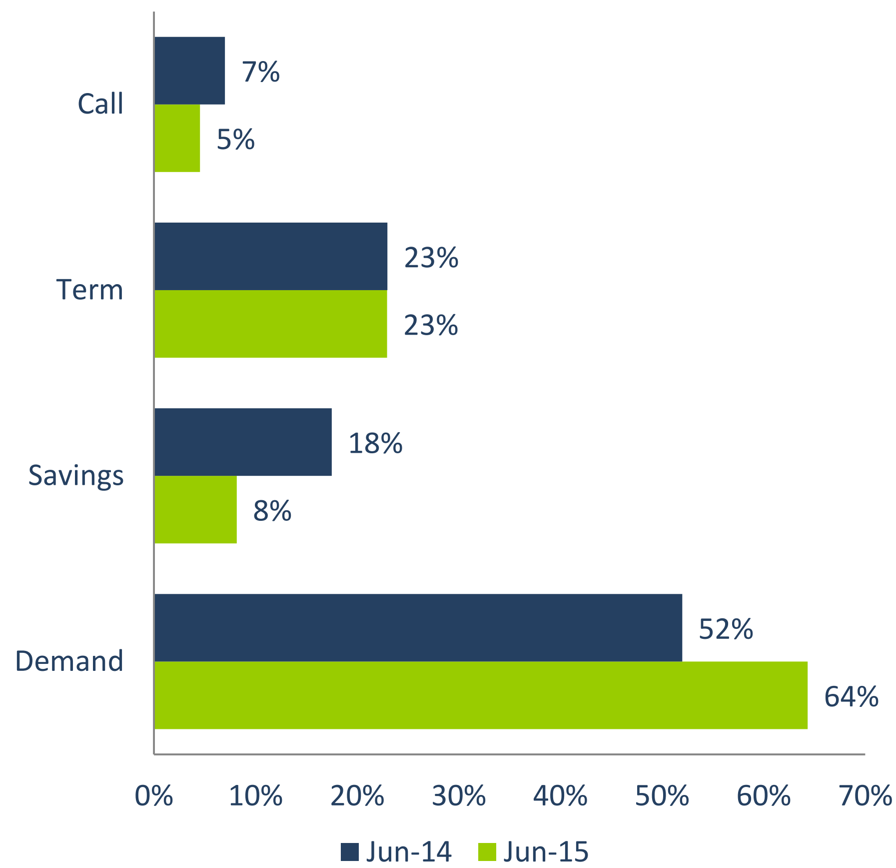
- Deposits up 26% due to customer number growth.
- Borrowed funds up 71% due to additional funding from IFC, SCB & GIB ($170M)

Deposits Growth

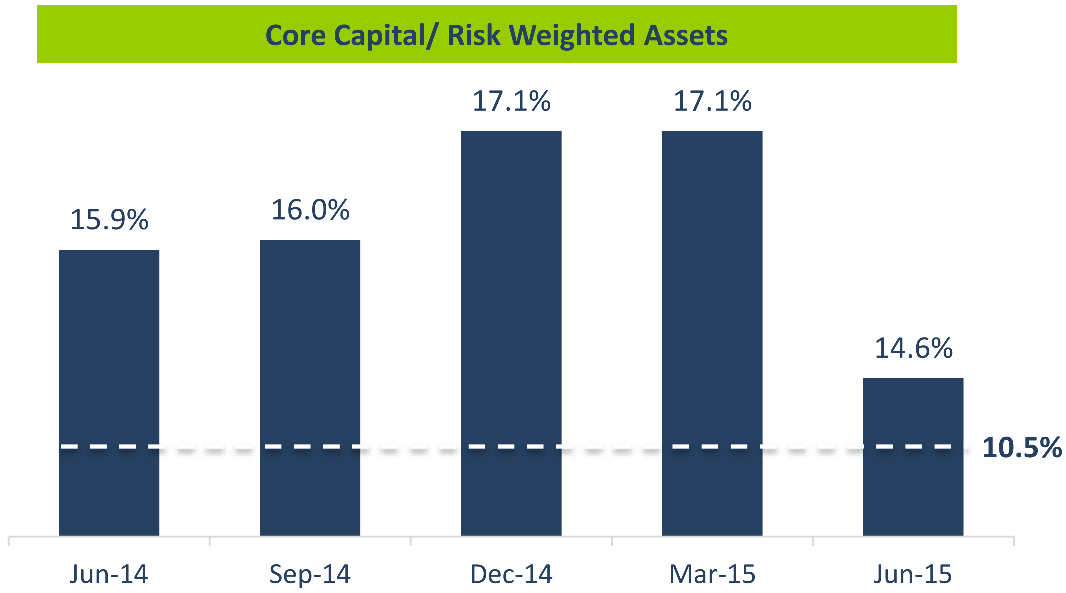
Customer Deposits Growth (KShs.Bn)

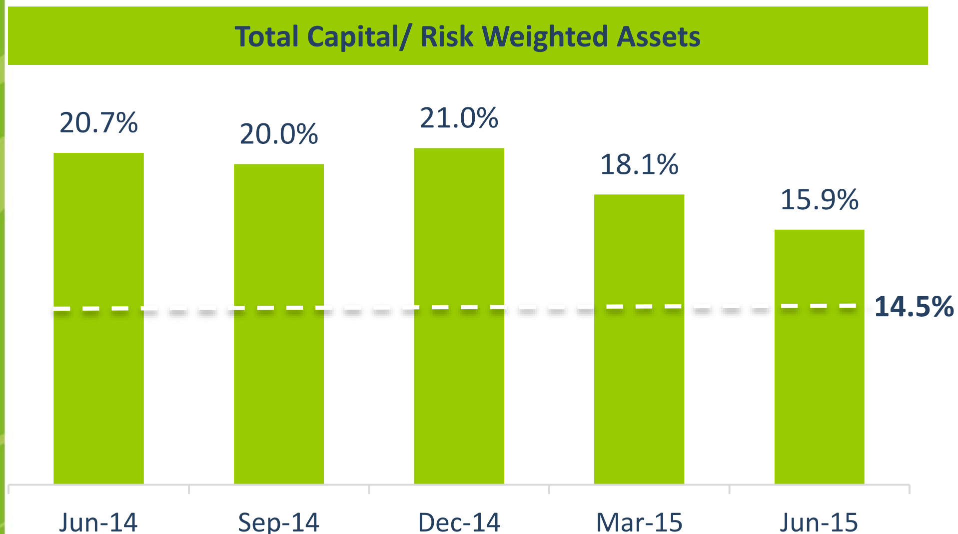


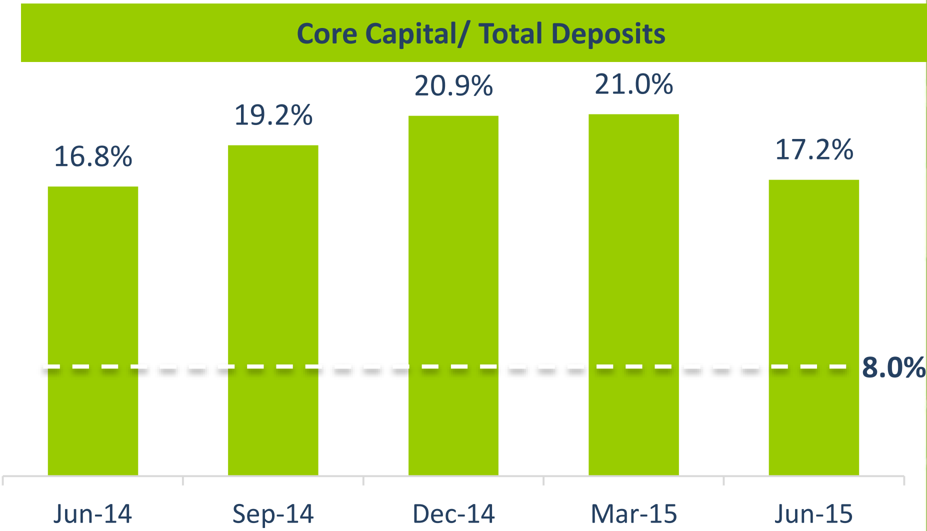
Deposits by Type



Capital Adequacy

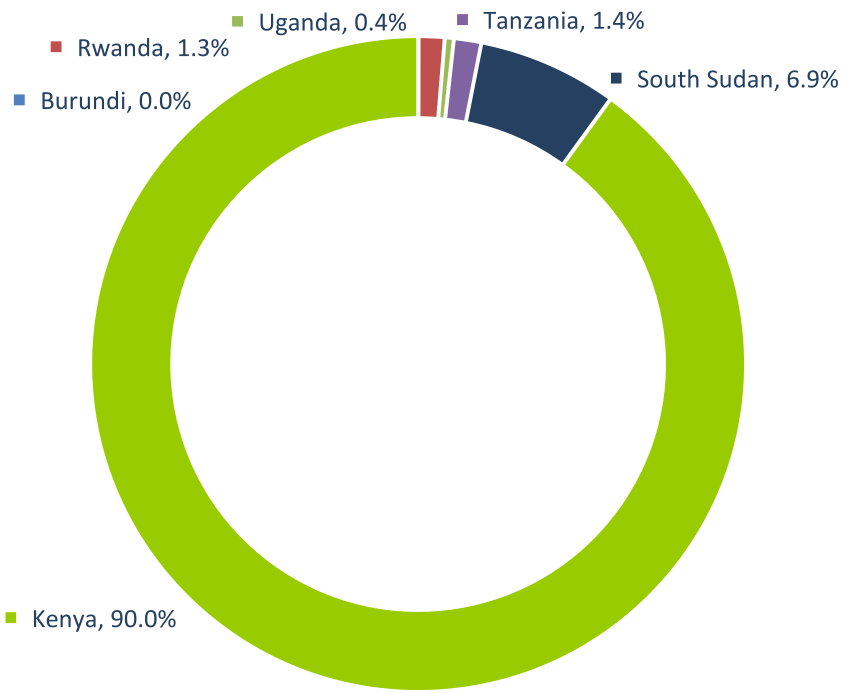




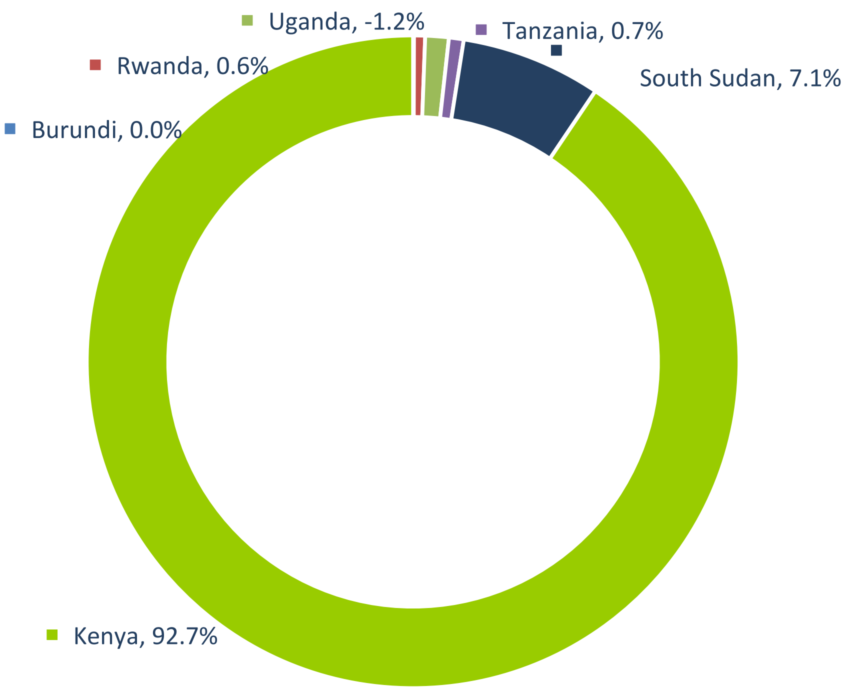


Distribution of PBT by Country

June 2015



June 2014



Consolidated Statement of Profit or Loss (KShs. Mn.)

	ACTUAL Jun-15	ACTUAL Jun-14	Y-o-Y % Change
Interest Income	25,854	22,409	15%
Interest Expense	(6,408)	(5,275)	21%
Net interest income	19,446	17,134	13%
Foreign exchange income	2,014	2,220	-9%
Gross fees and commissions	6,844	5,669	21%
Other income	2,411	2,500	-4%
Total operating income	**30,715**	**27,523**	**12%**
Total operating expenses	(14,919)	(13,639)	9%
Provisions for bad debts	(2,593)	(2,210)	17%
Profit before tax	**13,202**	**11,674**	**13%**
Tax	(3,961)	(3,502)	13%
Profit after tax	**9,242**	**8,172**	**13%**

Key Statistics and Performance Ratios

Q2'14	Q3'14	FY'14	Q1'15		H1 '15
3.9%	4.0%	3.8%	3.5%	Return on Average Assets	3.5%
25.5%	25.2%	24.2%	22.5%	Return on Average Equity	24.0%
49.6%	48.3%	50.2%	51.2%	Cost to Income	48.6%
8.8%	6.7%	6.3%	7.1%	Gross NPL to Gross Loans	7.3%
68.6%	69.4%	65.2%	77.6%	NPL Coverage	71.8%
20.2%	18.5%	16.8%	16.0%	Debt to Equity	28.8%
37.7%	39.5%	38.0%	33.3%	Non funded income to total income	36.7%
24.9%	24.7%	24.1%	27.4%	Staff costs to total income	25.1%
3.1%	3.2%	3.2%	2.9%	Cost of funds	2.9%
9.5%	9.5%	9.7%	8.7%	Net Interest Margin	8.5%
1.9%	1.6%	1.8%	0.8%	Cost of risk	1.7%
75%	75%	75%	74%	Loan to Deposit Ratio	72%
17%	17%	25%	27%	Growth of Net Loans and Advances	31%
16%	16%	23%	27%	Growth of Customer Deposits	26%
17%	17%	18%	12%	Growth of Profit before tax	13%

Focused on our Business Drivers

		ACHIEVED
1	Enhancing Financial inclusion to **10 million customers**	Over 7 million customers
2	**Building partnerships** in the telecommunication, transport and energy sectors and with governments across the region	KCB Mpesa Road Annuity Revenue Collection – Counties Social Safety Net
3	Race to **a million homes** through our affordable mortgage proposition	Relaunch S&L as a developer for affordable housing 14% Contribution
4	**Integrated product/service offering** on bancassurance, investment banking, brokerage services	Launch of KCB Insurance and Recruitment for Brokerage complete
5	**Triple mobile transactions** and agency footprint to enhance our digital payments	69% of transactions up from 57%
6	**T24 refresh** to increase reliability and capacity to over 25 million customers	Overall Project Status: 41% complete
7	**Improved efficiencies:** managing the cost to income ratio and loan quality	**CIR: 100bps improvement to 48.6%** **NPL:150bps improvement to 7.3%**
8	Raising long term **capital** (Equity & Debt)	Good adequacy ratios Non Operating Holding Company to be operationalized Consideration for 2016

KCB

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